Food Supplements Industry

Strategic moves and competitive dynamics

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Team Introduction

Our Team

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Methodology

Establish a Clear Industry Scope and Build a Harmonised Demand Taxonomy.

Methodology

Define precise industry boundaries

Regulatory definitions, market research classifications and real-world usage patterns.

Resolved inconsistencies by setting a unified scope:

Included: *non-pharmaceutical products marketed with supplementation or functional health benefits.*

Excluded: *conventional foods and pure pharmaceuticals.*

Consolidate external classifications into a unified framework

Reconciled varying taxonomies into a three-part segmentation useful for consumers and investors.

All products and statistics consistently mapped into:

- ***Health & Wellness***
- ***Sports Performance & Metabolic***
- ***Beauty & Aesthetic***

Apply taxonomy consistently across the report

Additional segmentation based on geographical characteristics.

Segments introduced at high level in the executive summary.

Analysis structured around these three segments in all demand-side chapters.

Analyse Supply Models and Build a Scenario Framework Integrating Demand and Supply.

Methodology

Use a business-model lens to analyse supply-side dynamics

Mapped out the value chain suppliers → manufacturing → branded go-to-market.

Grouped companies into three fundamental business models:

- ***Ingredient suppliers***
- ***Contract development & manufacturing organisations (CDMOs)***
- ***Integrated manufacturers***

Combine quantitative and qualitative evaluation criteria

Quantitative indicators: scale, growth, margins, capital intensity, customer diversification.

Qualitative factors: regulatory environment, formulation and production capabilities, ability to scale across regions and segments.

Scenario analysis linking demand, geography, and business models

Integrated the harmonised demand taxonomy and supply-side economic characteristics.

Investment opportunities where structural growth and cultural characteristics align with acceptable systematic and idiosyncratic risks for a European private equity investor.

Executive Summary

Executive Summary

Supplement Classification

Health & Wellness
- **Largest** segment
- Driven by **general health trends**
- **CAGR ~ 7%**

Sports & Performance
- **Mid-Sized** segment
- Driven by active lifestyles
- **CAGR ~ 6%**

Beauty & Aesthetic
- **Smallest** segment
- Supported by **beauty** and **social-media trends**
- **CAGR ~ 9%**

Regional Markets

North America
- **Largest** and most mature region
- **CAGR ~ 6.5%**

Europe
- Small but **fast-growing region**
- **CAGR ~ 10%**

Asia-Pacific
- Growing region with **expanding middle-class**
- **CAGR ~ 7%**

Supply & Demand Overview

Demand Side
- Europe's market expected to grow from **24B€ to 44B€** in 10 years
- Growth driven by **Health & Wellness**
- Strict regulatory environment

Supply Side
- **Contract manufacturers:** High regulatory and capital barriers, but benefit from competitive positioning advantage.
- CAGR ~ 13%
- **Integrated manufacturers:** Diversified but exposed to channel and brand risks

Prioritising European Health & Wellness contract manufacturers is the most attractive entry point for a European private equity fund into the food supplement industry.

Results and Recommendations

Summarise How Segment, Geography and Business Model Perform Under Different Scenarios

Scenario Analysis

Europe Health & Wellness CDMO

Highest structural growth + strongest defensibility + lowest execution risk for a European fund.

Asia-Pacific Beauty & Aesthetic CDMO

High-growth category and strong cultural fit; at the cost of higher regulatory and operational complexity.

Europe Health & Wellness Integrated Manufacturer

Attractive fundamentals and omnichannel potential; more brand- and channel-dependent.

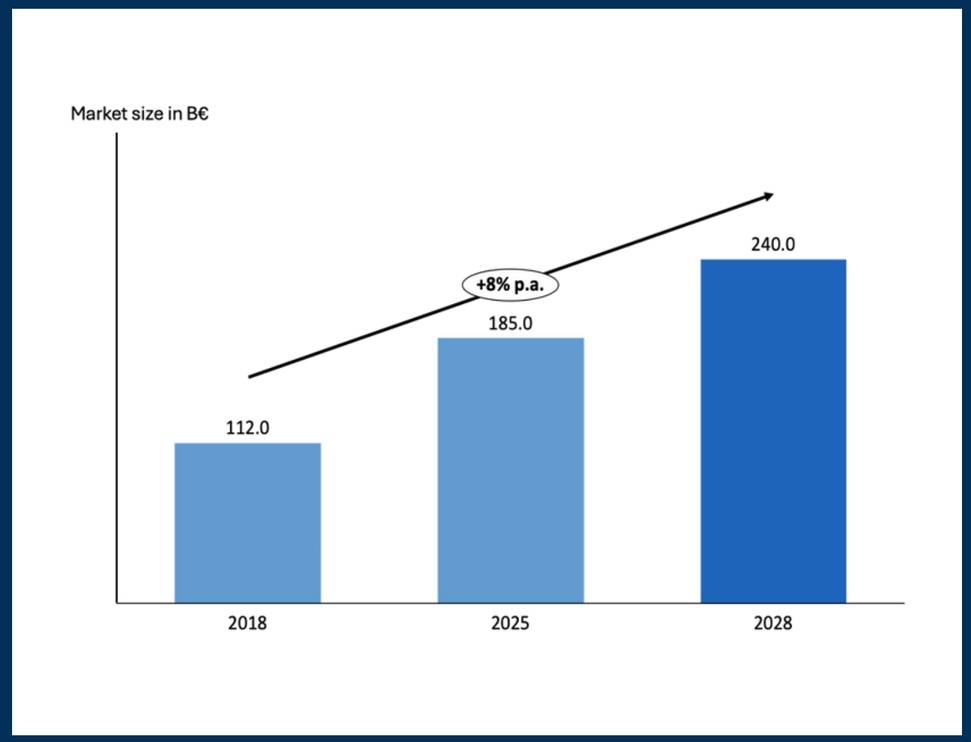
Asia-Pacific Beauty & Aesthetic Integrated Manufacturer

Fastest growth but highest regulatory, governance, and distance-related complexity.

Demand for Food Supplements

The food supplement industry is driven by multiple growth factors

Market Overview



- Global market size represents **€112B in 2018, €185B in 2025,** and is expected to reach **€240B by 2028.**
- **CAGR ~ 8%**
- Main growth drivers are increasing **nutrition awareness**, improved **digital access**, post pandemic **immune-focused demand**.

Different trends across regions drive various growth rates for food supplements

Trends For Food Supplements Across Regions

North America

State of the market:

Largest and **most mature** market, with a market size of **€58.3B** in 2024. Growing at a **6.5% CAGR.**

Trends:

Stable and balanced growth across the US food supplement industry.

Europe

State of the market:

Market expected to reach **€44B** by 2026. Reflecting a **10% CAGR**.
Italy being the **strongest national market in Europe.**

Trends:

Growth driven by demand for **multivitamins**, **digestive** health and **herbal** medicines.

Asia-Pacific

State of the market:

Market size of 24.2B€ in 2020 and expected to reach **€48.4B** by 2026. Representing a **7% CAGR**.

Trends:

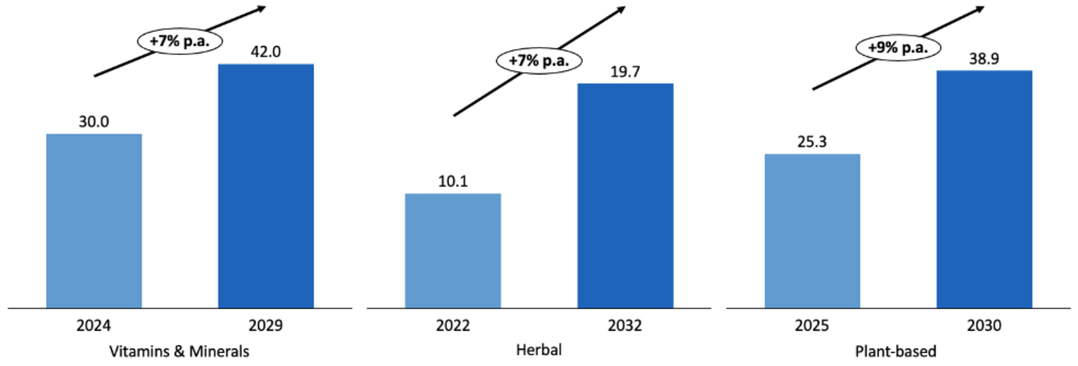
Growth supported by **increased disposable income**, **expanding middle class**, increasing **awareness of preventive health.**

Around ⅔ of supplement users take vitamins or minerals

Health & Wellness Supplements

Health & Welness supplements as the largest revenue segment in the dietry supplement industry

- Support overall health, immune system, and nutrient adequacy
- **Vitamins & Minerals** segment valued at €30B in 2024
- **Herbal products** market size of €10.1B in 2022 and expected to reach €19.7B by 2032
- **Plant-based products** forecasted to grow from €25.3B in 2025 to €38.9B by 2030



- **Demographic shifts** reshape demand patterns
- **Younger generations drive market growth**, representing 40% of the market sales
- Generational shift **accelerates innovation** and reshapes customer engagement
- Shift towards **mental well-being** supplements
- **Ageing population** reinforces demand for vitamins and nutrients

Category's growth rests on three structural reinforcing facts

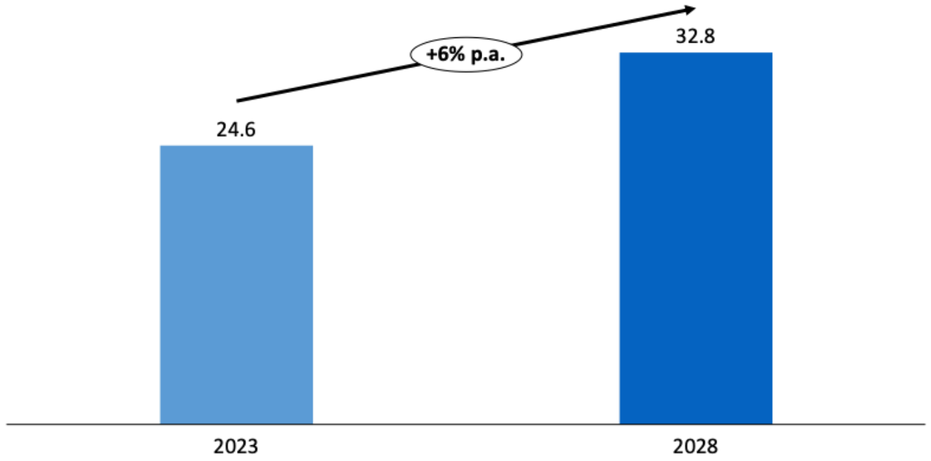
Sports, Performance & Metabolic Supplements

Performance and metabolic supplements becoming everyday essentials

- Segment size of **€24.6B in 2023** and expected to reach a size of **€32.8B by 2028**

Consumer motives:

- Building strength and lean mass
- Energy and recovery for training
- Body compsition and weight management



USA

- Central role played by powders and mixable products in fitness culture. **84% of the market held by powders, 11% drink beverages and 5% for pills**
- Larger package sizes, and planned replenishment cycles

Europe

- **Protein first** demand pattern
- In Italy, €378 spent p.p. per year on protein powders, €245 on protein foods, €225 on vitamins, 94€ on weight loss products

Asia-Pacific

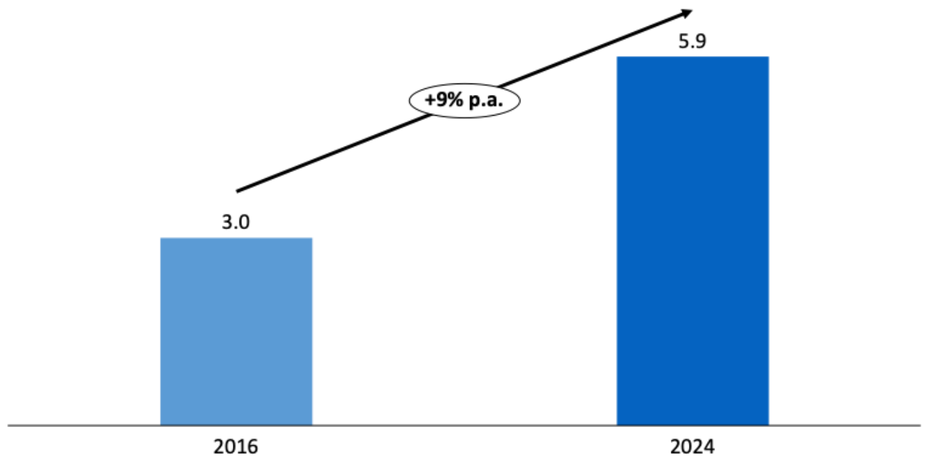
- Weight management remains a persistent theme boosting sales of metabolism products
- Digital commerce expands **protein trials in China**
- Convenience stores and vending networks promote **ready to drink beverages in Japan**

Routine use, replenishment cycles, and digital discovery fuel beauty supplement growth

Beauty & Aesthetic Supplements

Beauty supplements move from niche to routine as wellness and aesthetics converge

- Segment size of **€3B in 2016** and reached a size of **€5.9B in 2024**
- The category benefits from the expansion of the dietary supplements market
- **Small but fast growing market**
- Collagen, hyaluronic acid, biotin and hair/skin/nail formulas



Growth drivers

- **Convergence of beauty and wellness**, consumers seek visible skin and hair benefits through daily routines
- Usage patterns fit **subscription like behaviours**
- **Digital channels** and **social media** scale main steam access

Asia-Pacific

- Beauty goals have become mainstream within supplements
- Within the health supplements industry, beauty supplements account for **26.8% of the dietary supplement market**

Supply Side Overview

Regulatory Fragmentation Drives the Main Supply-Side Differences Across Regions.

Supply Side Overview

Regulatory Overlay (applies to all supply chain steps)

US: light, reactive, FDA/FTC split
EU: strict EFSA claim approval, high entry barriers
China: dual-path (filing vs. registration), 27 allowed claims
India: tightening FSSAI regime, pharma-like alignment
International: GMP, ISO, HACCP, FSSC 22000 as universal standards

US regulations are comparatively light and reactive

- FDA treats supplements largely as foods; no pre-market approval unless using new ingredients
- Split oversight: FDA for labeling/safety, FTC for claims and advertising
- Enforcement typically occurs after issues arise (“action once something goes wrong”)
- Signs of political debate: some see over-reach, others call for loosening

EU regulations are strict, complex, and heavily claim-controlled

- EFSA approval required for any health claim
- High regulatory barriers create opacity and demand for specialised legal/regulatory support
- CDMOs concentrated in Europe (5 of 8 in database), reflecting ability to absorb regulatory burden
- Ongoing discussions about reforming the claims system

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China operates a dual-path system with tight control

- Health foods" regulated by SAMR via registration (long, 12–24 months) or simplified filing
- Only 27 permitted claims; labels must follow strict GB standards
- Mandatory Chinese agent, GMP compliance, and proof of commercialization for imports
- Strong focus on traceability and documentation

India's regulatory regime is tightening as the sector matures

- FSSAI licensing required across manufacturing, import, packaging, and distribution
- Strict rules on ingredients, permitted claims, labeling, and local agent requirements
- 2022 amendments propose stricter oversight and pharma-grade alignment
- Increasing emphasis on safety, traceability, and scientific validation

R&D and raw-material sourcing are tightly interconnected

R&D tied to ingredient availability and quality; formula changes often required when inputs shift

– Sensitivities vary by category:

- Sports → ingredient substitution matters
- H&W → organic/clean-label priority
- Beauty → ethical sourcing and traceability expectations

Integrated manufacturers range from boutique to global players

- Examples: Nature's Sunshine (small), Herbalife (€4.39bn), Amway (€6.62bn), By-Health (€823m)
- Integrated models capture both manufacturing and brand margin but face exposure to consumer trends

Supply Side Overview

Supplements Supply Chains Share a Common Structure With Distinctive Industry-Specific Traits

Contract manufacturing is a dominant and fast-growing mode

- High capital & regulatory costs drive entrepreneurs to CDMOs
- CDMOs enable scale: Aenova ~€0.86bn equivalent; global
- CDMO market growing 12.6%
- CDMOs serve hundreds of clients (Aenova >400 brands), underpinning diversification

Distribution diverges strongly by business model

- Integrated players sell through retail, DTC, and omnichannel formats; traceability and “farm-to-capsule” narratives act as differentiators
- CDMOs do not sell to consumers; they supply entrepreneurs and influencers who drive brand creation and distribution

Supply Side Overview

Supplements Supply Chains Share a Common Structure With Distinctive Industry-Specific Traits

Largest players by revenue are integrated manufacturers

- Exampels: Herbalife (€4.27B), Amway (€~3B)
- Benefit from markups to consumers

Contract Manufacturers have Largest Industry Reach

- CDMO decisions have direct up- and-downstream with thousands of actors
- Supplement CDMOs are a €51.28B industry with a CAGR of 12.6% through 2030
- CDMOs are the hidden giants of the industry

The Case for Contract Manufacturing

Why CDMOs should be the investors main focus

Analysis of biggest Players

Distinct supply models driving diverse structural growth and superior investment value.

The Hidden Giants: Supply Side Leaders

Ingredient Specialists

(Traceability, Purity, Customization)

Rousselot (France)

- #1 Global Collagen Producer and is Science-backed
- High profitability with ~12.5% segment margin

Nitta Gelatin (Japan)

- Customization-driven solutions & Eco-friendly process
- Global footprint with ~€213m revenue

CDMO & Tech Champions

(Scale, Regulation & Innovation)

Aenova Group (Germany)

- Top EU CDMO with €833m revenue (17% growth)
- Robust profitability: 16.5% EBITDA margin

Sirio Pharma (China / Germany)

- Hybrid model: EU Quality + China Speed
- High-growth Gummies segment (23.6% share)

Lonza (Switzerland)

- Pharma-grade delivery tech leading the premium market
- Superior profitability: ~24.3% EBITDA margin

The Role of Amazon & Social Media

Role of Amazon in the Supplement Industry

Amazon acts as the dominant digital marketplace driving visibility, pricing, and category growth.

Visibility Engine

- Search dominance, reviews shape credibility
- Amazon's Choice boosts trust

Distribution Hub

- 10,000+ supplement brands on Amazon
- Prime accelerates conversion & retention

Pricing Pressure Driver

- Intense competition
- Marketplace compresses margins

Category Growth Accelerator

- €10.406 B VMS sales (2021)
- Rapid diffusion of trending products

Role of Social Media in the Supplement Industry

Social media accelerates awareness, education, and conversion across segments.

Awareness

- Influencer visibility drives initial discovery
- Wellness trends spread rapidly on social platforms

Engagement

- 90% of supplement brands maintain an active social media presence
- Short-form video boosts user interaction

Education

- 8/10 consumers search for health information online
- Expert- and science-based content builds trust

Conversion

- Influencer marketing grew €1.462 B → €11.868 B
- Conversions driven by swipe-up links & affiliate codes

Advocacy

- 74% consumers influenced by social media
- Strong UGC (reviews, transformations)

Events and Renowned Chefs

Strategic Role of Industry Events

Events drive new product launches, international deals, and trend diffusion across the supplement ecosystem.

Innovation Launchpad

- New ingredients, delivery formats, and functional foods showcased
- Companies test new formulations and consumer trends

Commerce & Partnerships

- High-density B2B networking
- Distribution agreements, cross border deals, supplier contracting
- Access to global buyers & retailers

Trend Acceleration

- Media coverage spreads emerging categories
- Regulatory insights shared (EU, US, APAC)
- Helps firms benchmark against competitors

Key Global Events Shaping the Supplement Industry

Global supplement expos act as hubs for innovation, partnerships, and category acceleration.

USA – Natural Products Expo West
- 65,000+ attendees (2024); premier natural products event

USA – SupplySide Global (Las Vegas)
- Major B2B expo for health & nutrition professionals

Europe – Vitafoods Europe (Barcelona)
- Global reference event for nutraceuticals

Italy – in-Vitality Milan
- Leading B2B supplement event in EU

China – Healthplex Expo (Shanghai)
- Key APAC platform for distribution + regulatory insights

India – Vitafoods India (Mumbai)
- 159 exhibitors, 8,000+ visitors (2025)

Role of Renowned Chefs in the Supplement Industry

Chefs elevate trust, improve palatability, and shape wellness culture around supplements.

Credibility Transfer

- Chefs' authority boosts perceived quality and trust
- Enhances willingness to try new supplement formats

Trend Amplification

- Chefs spread "food as medicine" narratives
- Their media presence accelerates adoption of wellness ingredients (e.g., kale trend)

Palatability & Product Experience

- Chef-crafted flavors improve gummies and powders
- Better taste → better adherence and appeal

Premium Positioning

- Co-branded products signal high-end quality
- Gourmet collaborations (e.g., Michelin chefs) add luxury identity

Role of Renowned Chefs in the Supplement Industry

Chef partnerships show how gastronomy merges with supplementation to drive consumer engagement.

01

Vitafusion × Brad Leone

- Appointed as Chief Flavor Officer
- Created chef-inspired multivitamin gummies
- Boosted taste appeal + social media attention

02

Miller Prada × Hermosa Protein

- Michelin-level collaboration in premium gyms
- High-priced, gourmet protein shake
- Demonstrates luxury positioning in supplements

03

Chef David Bouley's "Chef & The Doctor"

- Educational dinner series linking food to health science
- Promotes food-as-medicine concepts
- Converts culinary credibility into supplement awareness

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All references can be found in the report.